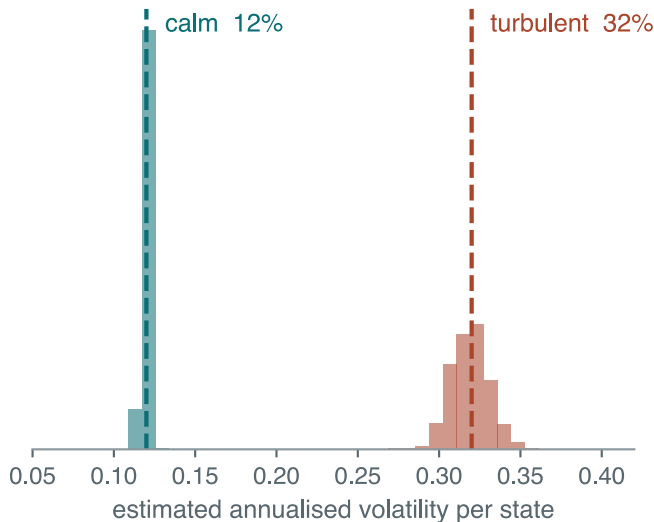
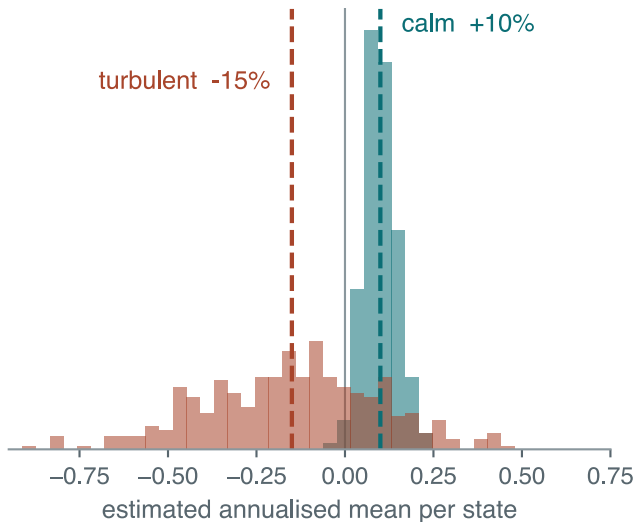


Volatility: recovered almost exactly



Mean: indistinguishable from noise



400 simulations, 10 years of daily data, correctly specified $K = 2$ Gaussian HMM, true parameters known to exist.
Volatility ratio recovered with 3.7% relative error; the estimated mean spread has the WRONG SIGN in 16% of samples.